DRAFT 2/24

AI OPPORTUNITIES IN PORTFOLIO COMPANIES

FEBRUARY 2026

AGENDA

1. **Introduction**
2. Cosmetic Solutions Example

RECOMMENDED PROCESS FOR EVALUATING AI TOOLS

1) **Define the scoring model** – Determine company priorities (e.g., drive revenue, reduce costs, increase quality/service) and investment timeline. Confirm the dimensions and weightings align with the company's goals.

2) **Map key processes for the business model** – Understand the potential AI use cases.

3) **Rank major AI use cases** – Apply the scoring model to the use cases and tier by immediate vs. long-term focuses. All assumptions are subject to iteration.

4) **Align across stakeholders** – Across the above processes, ensure alignment with the Board and Management, and solicit feedback from SMEs.

5) **Problem diagnostic and data readiness** – Scope problem, map required data inputs and evaluate data readiness.

6) **Evaluate resources to address key use cases** – Consider enterprise AI license with custom-built internal tools (by in-house resources) vs. lightweight LLM layers vs. off-the-shelf products.

7) **Short-term pilot** – Plan for limited pilot with clear KPIs and decision gate.

AI TOOL PRIORITIZATION FRAMEWORK

We recommend evaluating AI tools for portfolio companies using the below framework

Dimension	Detail	Scope (1-5)	Weighting
ROI Magnitude	Margin uplift, labor savings, scrap reduction, revenue acceleration		[40%]
Time to Value	Weeks vs. 12+ months		[30%]
Investment Cost	Software, integration, hardware, and internal training time		[25%]
Implementation Complexity	Data readiness, ERP integration, SOP changes, training burden		[15%]

AGENDA

1. Introduction
2. **Cosmetic Solutions Example**

Note: Subject to validation with Management

LEE EQUITY

PROCESS MAP

The core processes of Cosmetic Solutions, a personal care contract manufacturer, are outlined below

1 Innovation Development

Base formulation and finished product R&D development

2 Lead Generation, Intake, and Qualification

Inbound leads (trade shows, referrals), initial fit check (category, MOQ, claims, timelines), rough pricing, sample requests

3 Brief, Formulation Strategy, and Feasibility

Translate brand brief into a manufacturable spec with texture targets, actives, claims, cost targets, stability risk, packaging constraints

4 Lab Development

Bench batches, iterations, sensory evaluations, compatibility checks, scale-up assumptions, and formula documentation

5 Costing and Quoting

BOM costing with labor standards, overhead absorption, freight, MOQs, and quote revisions

6 Packaging Engineering, Artwork, Compliance

Component sourcing, compatibility testing, artwork checks, label claims substantiation, labeling

7 Procurement, Supplier Management

Ingredient and packaging purchasing, vendor lead times, COAs, lot tracking, supplier performance, substitutions

8 Tech Transfer, Scale-Up, Pilot

Define master batch record, critical process parameters, QC plan, sampling plan, line settings, training and trial runs

9 Production Planning

Scheduling by line with clean-down windows, labor planning, and changeovers

10 Manufacturing Execution

Batch execution with in-process checks, downtime tracking, scrap and OEE

11 QC testing, Release, Defect Detection

Raw material testing, packaging inspection, lot release documentation

12 Logistics, Fulfillment

Palletization, labeling, 3PL handoff, freight booking, shipment tracking, damage/claims

12 Customer Complaints, Investigations

Complaint intake, investigations, CAPAs, trend reporting, continuous improvement

13 Finance

AR/AP, cash flow, NWC, FP&A, board reporting, KPIs

14 Human Resources

Hiring, turnover, training, safety tracking

15 IT & Data

Data governance, user access controls, system integration

15 Legal & Risk

Contract review, insurance

LEE EQUITY

PROCESS MAP WITH POTENTIAL AI TOOLS (1 OF 4)

1 Innovation Development

Base formulation and finished product R&D development

- **Lab notebook / experiment copilots:** Electronic Laboratory Notebooks (ELN) and Laboratory Information Management Systems (LIMS) + LLM layer for "summarize results / propose next experiments"
- **Doc automation:** ChatGPT Enterprise for turning lab notes into clean prototype reports, change logs, and version histories

2 Lead Generation, Intake, and Qualification

Inbound leads (trade shows, referrals), initial fit check (category, MOQ, claims, timelines), rough pricing, sample requests

- **CRM + lead intelligence & drafting:** Salesforce Einstein / HubSpot AI (auto-log calls, draft follow-ups, prioritize leads)
- **Conversation intelligence (sales calls):** Gong / Chorus (summaries, next steps, objection themes)
- **AI intake forms + auto-triage**: Typeform + Zapier/Make + an LLM (route to right team, flag red flags like unrealistic MOQs)
- **Knowledge search across past projects:** Glean / Microsoft Copilot (find "similar formula/customer" fast)

3 Brief, Formulation Strategy, and Feasibility

Translate brand brief into a manufacturable spec with texture targets, actives, claims, cost targets, stability risk, packaging constraints, etc.

- **Brief parsing + requirement extraction:** ChatGPT Enterprise / Microsoft Copilot (turn messy emails into structured requirements, risk checklist)
- **R&D knowledge base Q&A:** Notion AI / Confluence AI (pull prior learnings, suppliers, processing notes)
- **Regulatory feasibility intelligence:** RegASK (AI-driven regulatory intelligence and impact assessment for consumer products/cosmetics).

4 Lab Development

Bench batches, iterations, sensory evaluations, compatibility checks, scale-up assumptions, and formula documentation

- *See Innovation Development*
- **"Formula + process" standardization:** Airtable + AI fields (version control, structured attributes, auto-generated BOM deltas)

LEE EQUITY

PROCESS MAP WITH POTENTIAL AI TOOLS (2 OF 4)

5 Costing and Quoting

BOM costing with labor standards, overhead absorption, freight, MOQs, and quote revisions

- **AI-assisted costing analysis:** Excel + Copilot (scenario modeling, variance explanations)
- **Proposal generation:** ChatGPT Enterprise (drafts quotes, scope language, assumptions, exclusions, lead-times)
- **CPQ + pricing guardrails:** Salesforce CPQ + AI assist (prevent quoting below floor, auto-add surcharges)

6 Packaging Engineering, Artwork, Compliance

Component sourcing, compatibility testing, artwork checks, label claims substantiation, labeling

- **Packaging compliance intelligence:** RegASK has public work on using AI to help packaging compliance and speed-to-market
- **Artwork proofing + change detection:** Computer-vision / document comparison tools; plus LLM checklists (INCI, warnings, net contents, etc.)
- **Claims & regulatory monitoring:** RegASK (alerts + impact assessments)

7 Procurement, Supplier Management

Ingredient and packaging purchasing, vendor lead times, COAs, lot tracking, supplier performance, substitutions

- **Supplier evaluation:** AI-driven vendor outreach for pricing and lead time (e.g., Tenkara)
- **COA / spec extraction:** LLMs to extract key fields from PDFs into ERP/LIM
- **Supply chain planning/forecasting:** AI-enabled supply chain management platforms like o9, Blue Yonder, and Kinaxis

8 Tech Transfer, Scale-Up, Pilot

Define master batch record, critical process parameters, QC plan, sampling plan, line settings, training and trial runs

- **SOP / batch record drafting copilots:** LLMs to draft documents from templates + past similar products
- **Deviation/ risk pre-mortems:** LLM-assisted drafts (validated with SMEs)
- **Document control copilots:** AI search and summarization across specs/SOPs

PROCESS MAP WITH POTENTIAL AI TOOLS (3 OF 4)

9 Production Planning

Scheduling by line with clean-down windows, labor planning, and changeovers

- **AI planning/ orchestration platforms:** Supply chain transparency, scenario development
- **Constraint reasoning copilots:** LLM layer on top of scheduling outputs ("why did we miss ship date?" "what's the least-bad re-plan?")

10 Manufacturing Execution

Batch execution with in-process checks, downtime tracking, scrap and OEE

- **Downtime/root-cause copilots:** LLM summarization over shift notes + maintenance logs

11 QC testing, Release, Defect Detection

Raw material testing, packaging inspection, lot release documentation

- **Computer vision for defects** (labels, caps, fill levels, leaks):
  - AWS Lookout for Vision (ML anomaly detection for images).
  - Landing AI / LandingLens for manufacturing inspection workflows.
  - Cognex AI-based machine vision tools (industrial inspection).
- **COA generation automation:** LLMs to draft COAs from structured test results (with QA review)

12 Logistics, Fulfillment

Palletization, labeling, 3PL handoff, freight booking, shipment tracking, damage/claims

- **Shipment exception management copilots:** LLM summaries + auto-drafted customer updates ("ETA slipped because… new plan is…")
- **EDI/document extraction:** LLM + OCR (text extraction) for BOLs, packing lists, ASN fields

LEE EQUITY

PROCESS MAP WITH POTENTIAL AI TOOLS (4 OF 4)

13 Customer Complaints, Investigations

Complaint intake, investigations, CAPAs, trend reporting, continuous improvement

- **Complaint classification & root-cause clustering:** LLM + analytics on complaint text
- **CAPA drafting copilots:** LLM-generated first drafts of investigations and corrective actions (QA signs off)

13 Finance

AR/AP, cash flow, NWC, FP&A, board reporting, KPIs

- **FP&A:** Margin anomaly detection, SKU profitability clustering, automated variance explanations
- **Forecasting:** Scenario modeling; Cash forecast modeling
- **Inventory:** Dead stock detection; expiration risk alerts

14 Human Resources

Hiring, turnover management, training, safety tracking

- **Labor Staffing:** Overtime predictions, staffing optimization
- **Hiring:** Resume screening automation
- **Training:** Automated training gap alerts, SOP quiz generation, content generation
- **Safety:** Incident clustering, risk hotspot detection

15 IT & Data

Data governance, user access controls, system integration

- Duplicate record detection
- Data hygiene monitoring
- Access anomaly detection

15 Legal & Risk

Contract review, insurance

- Contract clause comparison
- Indemnity risk extraction
- Regulatory update monitoring

DRAFT: For discussion with Management

LEE EQUITY

RANKING MAJOR AI USE CASES

Process	Department	ROI	Time	Complexity	Cost	Score	
Quote and Margin Copilot	Pricing/Sales	5	5	4	5	**4.8**	***Tier 1*** *1-3 months*
Knowledge Search AI	Sales	5	5	4	5	**4.8**	
Quality Document Automation[1]	Quality	4	5	5	5	**4.7**	
Lead Targeting	Sales	4	3	4	3	**4.5**	
Cost & Variance	Finance	5	4	3	4	**4.3**	***Tier 2*** *3-6 months*
Conversation Intelligence	Sales	4	4	4	4	**4.0**	
Production Scheduling	Operations	5	3	2	3	**3.9**	
Regulatory & Artwork Compliance	Regulatory	3	3	3	3	**3.0**	***Tier 3*** *6-12+ months*
Computer Vision (Fill/Label Inspection)	Operations	4	2	1	1	**2.6**	

---- Highly preliminary scoring ----

(1) Subject to review of FDA compliance. May need to be an approved Quality Management System

DRAFT: For discussion with Management

LEE EQUITY

TIER 1 AI USE CASES

Process	Department	Macro Goal	Micro Goals
Quote and Margin Copilot	Pricing/Sales	• Prevent underpricing • Gross margin management	• Accurate ingredient prices • Accurate and up-to-date labor assumptions
Knowledge Search AI	Sales	• Accelerate revenue	• Shorten sales cycle - save time rebuilding similar formulas • Increase win rate – prioritize projects with highest fit
Quality Document Automation[1]	Quality	• Reduce SG&A labor while remaining complaint	• Accelerate lot release • Onboard new SKUs faster • Reduce quality team labor
Lead Targeting	Sales	• Accelerate revenue	• Increase pipeline • Increase win rate